Summer Term 2026

Investment and Financial Management: Introduction to Corporate Finance

Sessions 01+02: Financial Analysis

Berk/DeMarzo (2024): Corporate Finance, 6th edition, Pearson

Agenda: Financial analysis

1. **Firms' disclosure of financial information**
2. **The balance sheet / statement of financial position**
3. **The income statement**
4. **The statement of cash flows**
5. **Financial statement analysis**

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1. **Firms' disclosure of financial information**
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5. **Financial statement analysis**

- **What is the purpose of financial statements?**
  - Financial statements are firm-issued accounting reports with past performance information
  - Reliable source of information for shareholders and stakeholders of the firm
  - Filed with the relevant listing authority
  - Preparation of financial statements under certain rules and standards (Generally Accepted Accounting Principles (GAAP), International Financial Reporting Standards (IFRS)

- **Main types of financial statements:**
  - Balance sheet
  - Income statement
  - Statement of cash flows
  - (Statement of changes in shareholders' equity)

Agenda: Financial analysis

1. Firms' disclosure of financial information
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- **Balance sheet / statement of financial position**
  - A snapshot of the firm’s financial position (assets, liabilities, and shareholders’ equity) at a given point in time

- **The balance sheet equation: The two sides of the balance sheet must equal:**

Assets = Liabilities + Shareholders’ equity

  - Assets = What the company owns
  - Liabilities = What the company owes
  - Shareholder’s equity = The difference between the value of the firm’s assets and liabilities

2. The balance sheet / statement of financial position

- **Assets**
  - **Current assets:** Cash or expected to be turned into cash in the next year (not all operational!)
    - Cash
    - Marketable securities
    - Accounts receivable
    - Inventories
    - Other current assets (e.g., pre-paid expenses)
  - **Non-current assets:** Assets for long-term use (operational, more than one year)
    - Net property, plant, & equipment (PPE)
    - Goodwill and intangible assets
    - Other non-current assets

- **Assets for Global Conglomerate Corporation**

GLOBAL CONGLOMERATE CORPORATION

Consolidated Balance Sheet
Year Ended December 31 (in $ million)

Assets	2022	2021
Current Assets		
Cash	21.2	19.5
Accounts receivable	18.5	13.2
Inventories	15.3	14.3
Other current assets	2.0	1.0
Total current assets	57.0	48.0
Long-Term Assets		
Land	22.2	20.7
Buildings	36.5	30.5
Equipment	39.7	33.2
Less accumulated depreciation	(18.7)	(17.5)
Net property, plant, and equipment	79.7	66.9
Goodwill and intangible assets	20.0	20.0
Other long-term assets	21.0	14.0
Total long-term assets	120.7	100.9
Total Assets	**177.7**	**148.9**

2. The balance sheet / statement of financial position

- **Liabilities**
  - **Current liabilities:** Due to be paid within one year
    - ➢ Accounts payable
    - ➢ Short-term debt / notes payable
    - ➢ Current maturities of non-current (long-term) debt
    - ➢ Other current liabilities (e.g., taxes payable, wages payable)

    Important for the calculation of **net working capital (NWC)**:

    > Net working capital = Current assets − Current liabilities

  - **Non-current liabilities:** To be paid beyond one year
    - ➢ Long-term debt
    - ➢ Capital leases
    - ➢ Deferred taxes

- **Liabilities for Global Conglomerate Corporation**

GLOBAL CONGLOMERATE CORPORATION

Consolidated Balance Sheet
Year Ended December 31 (in $ million)

Liabilities and Stockholders' Equity	2022	2021
Current Liabilities		
Accounts payable	29.2	24.5
Notes payable/short-term debt	3.5	3.2
Current maturities of long-term debt	13.3	12.3
Other current liabilities	2.0	4.0
Total current liabilities	48.0	44.0
Long-Term Liabilities		
Long-term debt	99.9	76.3
Lease obligations	—	—
Total debt	99.9	76.3
Deferred taxes	7.6	7.4
Other long-term liabilities	—	—
Total long-term liabilities	107.5	83.7
Total Liabilities	**155.5**	**127.7**
Stockholders' Equity	**22.2**	**21.2**
Total Liabilities and Stockholders' Equity	**177.7**	**148.9**

▪ Balance Sheet for Global Conglomerate Corporation

GLOBAL CONGLOMERATE CORPORATION

Consolidated Balance Sheet
Year Ended December 31 (in $ million)

Assets	2022	2021	Liabilities and Stockholders' Equity	2022	2021
Current Assets			**Current Liabilities**		
Cash	21.2	19.5	Accounts payable	29.2	24.5
Accounts receivable	18.5	13.2	Notes payable/short-term debt	3.5	3.2
Inventories	15.3	14.3	Current maturities of long-term debt	13.3	12.3
Other current assets	2.0	1.0	Other current liabilities	2.0	4.0
Total current assets	57.0	48.0	Total current liabilities	48.0	44.0
Long-Term Assets			**Long-Term Liabilities**		
Land	22.2	20.7	Long-term debt	99.9	76.3
Buildings	36.5	30.5	Lease obligations	—	—
Equipment	39.7	33.2	Total debt	99.9	76.3
Less accumulated depreciation	(18.7)	(17.5)	Deferred taxes	7.6	7.4
Net property, plant, and equipment	79.7	66.9	Other long-term liabilities	—	—
Goodwill and intangible assets	20.0	20.0	Total long-term liabilities	107.5	83.7
Other long-term assets	21.0	14.0	**Total Liabilities**	**155.5**	**127.7**
Total long-term assets	120.7	100.9	**Stockholders' Equity**	**22.2**	**21.2**
Total Assets	**177.7**	**148.9**	**Total Liabilities and Stockholders' Equity**	**177.7**	**148.9**

- **Shareholder's equity: Book value vs. market value**

  - **Book value of equity**

    Book value of equity = Book value of assets − Book value of liabilities

    - Could possibly be negative
    - Many of the firm's valuable assets may not be captured on the balance sheet

  - **Market value of equity (= Market capitalization, market cap)**

    Mkt. value of equity = Mkt. price per share x No. of shares outstanding

    - Cannot be negative
    - Often differs substantially from book value

➡ **Reason for differences: Accounting**

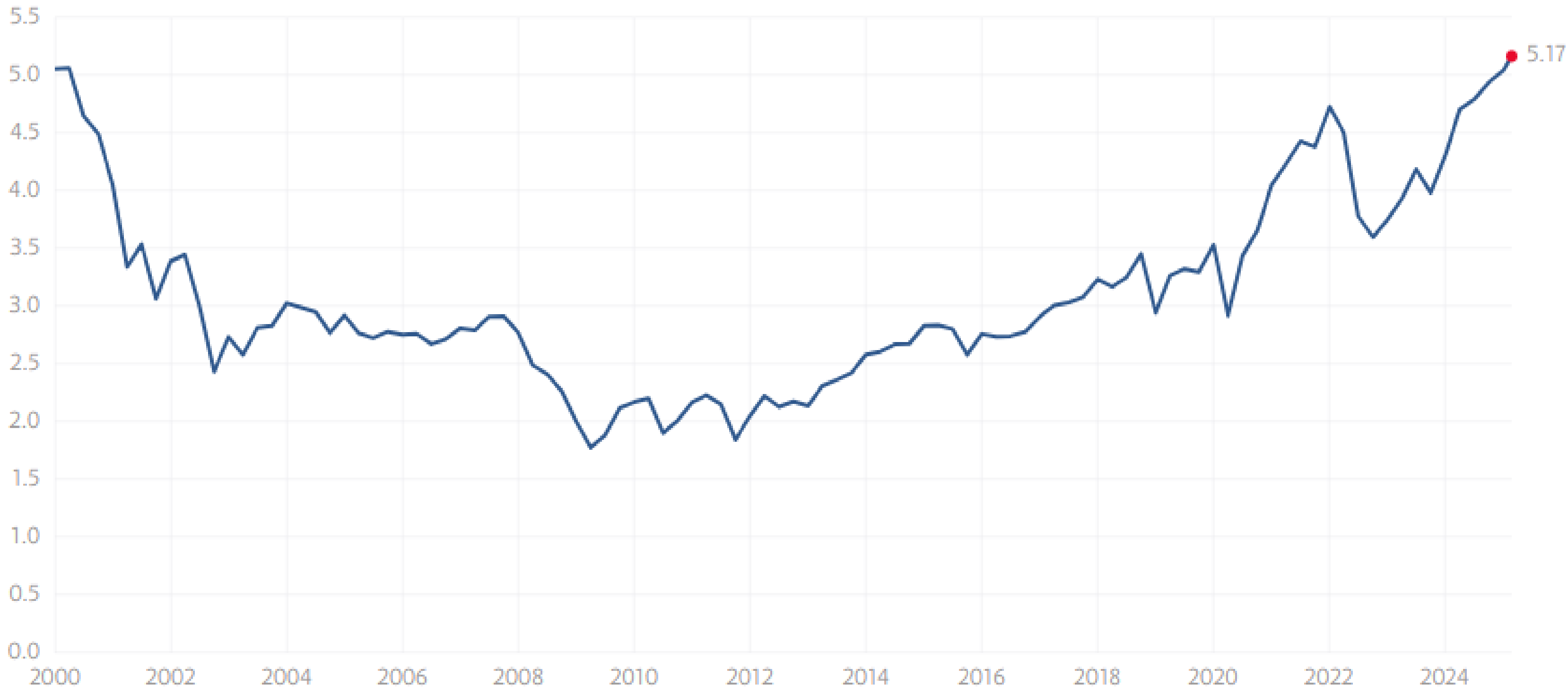
- **Shareholder's equity: Book value vs. market value**

  - **Market-to-book ratio (= Price-to-book (P/B) ratio)**

$$\text{Market-to-book (M/B) ratio} = \frac{\text{Market value of equity}}{\text{Book value of equity}}$$

    - Financial ratio to evaluate a firm: Successful firms have a M/B ratio of greater than one.
    - Value Stocks: Low M/B ratios
    - Growth stocks: High M/B ratios

- **S&P500 Price-to-book (P/B) ratio**



- P/B Ratios are volatile over time. However, they typically are above one. For the S&P500 companies, the average MtB-ratio since the year 2000 is 2.84 **URL:** https://www.multpl.com/s-p-500-price-to-book

Problem

Rylan Enterprises has 5 million shares outstanding. The market price per share is $22. The firm's book value of equity is $50 million.

1. What is Rylan's market capitalization?
2. How does the market capitalization compare to Rylan's book value of equity?

Solution

1. Rylan's market capitalization is $110 million (5 million shares x $22 share).

2. The market capitalization is significantly higher than Rylan's book value of equity of $50 million.

- **Enterprise value (EV) (= Total enterprise value (TEV))**

  - Value of the firm’s underlying business operations / assets
  - Do not confuse enterprise value and equity value

Enterprise value = Market value of equity + Debt − Cash

= Market value of equity + Net debt

➢ Net debt = Total debt − Cash & short-term investments

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- **The income statement**
  - Record of a firm's revenue, expense, and profit over a given period of time

Income statement of firm XY
Revenue / total sales
− Cost of sales / cost of goods sold (COGS)
= Gross profit
− Operating expenses: • Selling, general and administrative expenses (SGA) • Depreciation and amortization expense (D&A)
= Operating income
+ / − Other income / expenses
= Earnings before interest and taxes (EBIT)
+ / − Interest income / expenses
= Pre-tax income
− Tax
= Net income

- **Net income = Total earnings of the firm's equity holders**

  - **Earnings per share (EPS):** From the net income, we can calculate the firm's earnings per total outstanding share.

$$\text{Earnings per share (EPS)} = \frac{\text{Net income}}{\text{Shares outstanding}}$$

  - **Diluted earnings per share (Diluted EPS):** Future EPS could be diluted by in-the-money share (stock) options, convertible bonds, or warrants. The diluted EPS takes these potential effects into account.

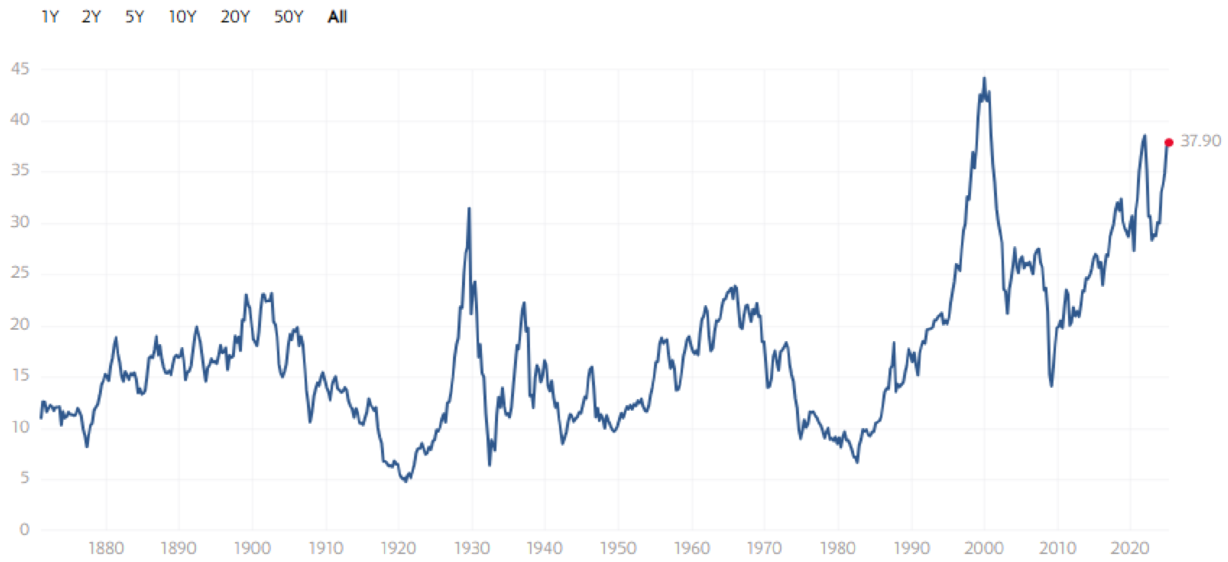
- **Income statement for Global Conglomerate Corporation**

GLOBAL CONGLOMERATE CORPORATION

Income Statement
Year Ended December 31 (in $ million)

	2022	2021
Total sales	186.7	176.1
Cost of sales	(153.4)	(147.3)
Gross Profit	33.3	28.8
Selling, general, and administrative expenses	(13.5)	(13.0)
Research and development	(8.2)	(7.6)
Depreciation and amortization	(1.2)	(1.1)
Operating Income	10.4	7.1
Other income	—	—
Earnings Before Interest and Taxes (EBIT)	10.4	7.1
Interest income (expense)	(7.7)	(4.6)
Pretax Income	2.7	2.5
Taxes	(0.7)	(0.6)
Net Income	2.0	1.9
Earnings per share:	$0.556	$0.528
Diluted earnings per share:	$0.526	$0.500

Supplement – The (long-term) Shiller PE



Current Shiller PE Ratio: 37.90 -0.68 (-1.76%)

4:00 PM EST, Fri Feb 21

Mean: 17.21
Median: 16.03
Min: 4.78 (Dec 1920)
Max: 44.19 (Dec 1999)

Shiller PE ratio for the S&P 500.

Price earnings ratio is based on average inflation-adjusted earnings from the previous 10 years, known as the Cyclically Adjusted PE Ratio (CAPE Ratio), Shiller PE Ratio, or PE 10 — FAQ.

Data courtesy of Robert Shiller from his book, Irrational Exuberance.

URL:
https://www.multpl.com/shiller-pe

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The statement of cash flows

- Record of the sources and uses of the firm's cash over a given period of time
  - Sources of cash: Activity that brings cash into the firm (e.g., sales)
  - Uses of cash: Causes cash to leave the firm (e.g., dividend payments)

- It is derived from the firm's income statement and the changes in the firm's balance sheet.

- It consists of three sections:
  - Cash flows from operating activities
  - Cash flows from investing activities
  - Cash flows from financing activities

- **Statement of cash flows for Global Conglomerate Corporation**

GLOBAL CONGLOMERATE CORPORATION
Statement of Cash Flows
Year Ended December 31 (in $ million)

	2022	2021
Operating activities		
Net income	2.0	1.9
Depreciation and amortization	1.2	1.1
Other non-cash items	0.2	1.0
Cash effect of changes in		
Accounts receivable	(5.3)	(0.3)
Accounts payable	4.7	(0.5)
Inventory	(1.0)	(1.0)
Other net operating assets	(3.0)	(2.0)
Cash from operating activities	**(1.2)**	**0.2**
Investment activities		
Capital expenditures	(14.0)	(4.0)
Acquisitions and other investing activity	(7.0)	(2.0)
Cash from investing activities	**(21.0)**	**(6.0)**
Financing activities		
Dividends paid	(1.0)	(1.0)
Sale (or purchase) of stock	—	—
Increase in borrowing	24.9	5.5
Cash from financing activities	**23.9**	**4.5**
Change in cash and cash equivalents	**1.7**	**(1.3)**

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Financial ratios

- Are used to:
  - Compare the firm with itself over time
  - Compare the firm to other similar firms

- Key financial ratios measure a firm's:
  - Profitability
  - Liquidity
  - Working Capital
  - Interest Coverage
  - Leverage (Gearing)
  - Valuation
  - Operating Returns

- **Profitability ratios**
  - Measures of a firm's ability to generate profits as a percentage of the sales generated (margin ratios; margin = portion of sales that is a profit)
  - Four levels of profitability ratios (resulting from the income statement) are: Gross, operating, pre-tax or net income

1. $$\text{Gross margin} = \frac{\text{Gross profit}}{\text{Sales}}$$
2. $$\text{Operating margin} = \frac{\text{Operating income}}{\text{Sales}}$$
3. $$\text{EBIT margin} = \frac{\text{EBIT}}{\text{Sales}}$$
4. $$\text{Net profit margin} = \frac{\text{Net income}}{\text{Sales}}$$

- **Liquidity ratios**
  - Measures of a firm's ability to meet short-term debt obligations
  - Help to assess a firm's liquidity / financial solvency from information of the balance sheet / statement of financial position

1. $$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

2. $$\text{Quick ratio} = \frac{\text{Cash} + \text{Short-term investm.} + \text{Accounts receivables}}{\text{Current liabilities}}$$

3. $$\text{Cash ratio} = \frac{\text{Cash}}{\text{Current liabilities}}$$

- **Interest coverage ratios**
  - Measures of a firm's ability to meet its interest payments by comparing its earnings with its interest expenses
  - A higher ratio means a firm is earning much more than necessary to meet its obligations (High-quality borrowers > 5x EBIT / Interest coverage; Low-quality borrowers < 1.5 EBIT / Interest coverage).

1. $$\text{EBIT / Interest coverage} = \frac{\text{EBIT}}{\text{Interest expense}}$$

2. $$\text{EBITDA / Interest coverage} = \frac{\text{EBITDA}}{\text{Interest expense}}$$
   $$= \frac{\text{EBIT + Depreciation / Amortization}}{\text{Interest expense}}$$

- **Leverage / gearing ratios**
  - Measures of a firm's reliance on debt as a source of financing
  - Leverage ratios can be measured using book or market values!
  - Among the most important and common leverage ratios are:

1. $$\text{Debt−equity ratio} = \frac{\text{Total debt}}{\text{Total equity}}$$

2. $$\text{Debt−to−capital ratio} = \frac{\text{Total debt}}{\text{Total equity} + \text{Total debt}}$$

3. $$\text{Debt−to−EV ratio} = \frac{\text{Net debt}}{\text{Market value} + \text{Net debt}}$$

   with Net debt = Total debt − Cash & Short−term investments

4. $$\text{Equity multiplier} = \frac{\text{Total Assets}}{\text{Book value of equity}}$$

- **Valuation ratios**
  - Measures to help investors assess the market value of a firm
  - These ratios are intended to make intra-industry comparisons of firm valuations.

1

$$\text{Price−to−earnings (P/E) ratio} = \frac{\text{Market capitalization}}{\text{Net income}} = \frac{\text{Share price}}{\text{Earnings per share}}$$

2

$$\text{EV to EBIT} = \frac{\text{Market value of equity} + \text{Debt} - \text{Cash}}{\text{EBIT}}$$

3

$$\text{EV to Sales} = \frac{\text{Market value of equity} + \text{Debt} - \text{Cash}}{\text{Sales}}$$

- **Operating returns / investment returns**
  - Measures of a firm’s returns on investment
  - Compare its income to its investment using financial information from the balance sheet / statement of financial position

1. $$\text{Return on equity (ROE)} = \frac{\text{Net income}}{\text{Book value of equity}}$$
2. $$\text{Return on assets (ROA)} = \frac{\text{Net income + Interest expense}}{\text{Total assets}}$$
3. $$\text{Return on invested capital (ROIC)} = \frac{\text{EBIT x (1 − Tax rate)}}{\text{Book value of equity + Net debt}}$$
4. $$\text{Asset turnover} = \frac{\text{Sales}}{\text{Total assets}}$$

- **The DuPont identity**
  - The DuPont identity further decomposes return on equity (ROE) into three components:
    - Profitability (= Net profit margin)
    - Asset efficiency (= Asset turnover)
    - Leverage (= Equity multiplier)

$$\text{ROE} = \underbrace{\left(\frac{\text{Net income}}{\text{Sales}}\right)}_{\text{Net profit margin}} \times \underbrace{\left(\frac{\text{Sales}}{\text{Total assets}}\right)}_{\text{Asset turnover}} \times \underbrace{\left(\frac{\text{Total assets}}{\text{Book value of equity}}\right)}_{\text{Equity multiplier}}$$

- **Problem**

Problem

The following data is for financial year (FY) 2011:

Variables	Yahoo!	Google
Sales	$4,984	$37,905
Total assets	$14,783	$72,574
Book value of equity	$12,581	$58,145
Net income	$1,049	$9,737

Compare these firms' profitability, asset turnover, equity multipliers, and return on equity during this period.

- **Problem**

Solution (I)

- **Yahoo!**
  - Net profit margin = \$1,049 / \$4,984 = 21.04%
  - Total asset turnover = \$4,984 / \$14,783 = 0.337
  - Equity multiplier = \$14,783 / \$12,581 = 1.18
  - ROE = \$1,049 / \$12,581 = 8.34%

- **Google**
  - Net profit margin = \$9,737 / \$37,905 = 25.69%
  - Total asset turnover = \$37,905 / \$72,574 = 0.522
  - Equity multiplier = \$72,574 / \$58,145 = 1.25
  - ROE = \$9,737 / \$58,145 = 16.75%

- **Problem**

Solution (II)

- **Final evaluation**
  - Google had a higher profit margin, total asset turnover, and equity multiplier. Thus, it is not surprising that Google had a superior ROE.
  - If Yahoo! had been able to match Google's asset turnover during this period, its ROE would have been: ROE = 21.04% x 0.522 x 1.18 =12.96%, or over 50% higher.

5. Financial statement analysis

Profitability Ratios

Gross Margin	$\frac{\text{Gross Profit}}{\text{Sales}}$
Operating Margin	$\frac{\text{Operating Income}}{\text{Sales}}$
EBIT Margin	$\frac{\text{EBIT}}{\text{Sales}}$
Net Profit Margin	$\frac{\text{Net Income}}{\text{Sales}}$

Liquidity Ratios

Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$
Quick Ratio	$\frac{\text{Cash \& Short-term Investments} + \text{Accounts Receivable}}{\text{Current Liabilities}}$
Cash Ratio	$\frac{\text{Cash}}{\text{Current Liabilities}}$

Interest Coverage Ratios

EBIT/Interest Coverage	$\frac{\text{EBIT}}{\text{Interest Expense}}$
EBITDA/Interest Coverage	$\frac{\text{EBITDA}}{\text{Interest Expense}}$

Leverage Ratios

Debt-Equity Ratio	$\frac{\text{Total Debt}}{\text{Book (or Market) Value of Equity}}$
Debt-to-Capital Ratio	$\frac{\text{Total Debt}}{\text{Total Equity} + \text{Total Debt}}$
Debt-to-Enterprise Value Ratio	$\frac{\text{Net Debt}}{\text{Enterprise Value}}$
Equity Multiplier (book)	$\frac{\text{Total Assets}}{\text{Book Value of Equity}}$
Equity Multiplier (market)	$\frac{\text{Enterprise Value}}{\text{Market Value of Equity}}$

Working Capital Ratios

Accounts Receivable Days	$\dfrac{\text{Accounts Receivable}}{\text{Average Daily Sales}}$
Accounts Payable Days	$\dfrac{\text{Accounts Payable}}{\text{Average Daily Cost of Sales}}$
Inventory Days	$\dfrac{\text{Inventory}}{\text{Average Daily Cost of Sales}}$
Accounts Receivable Turnover	$\dfrac{\text{Annual Sales}}{\text{Accounts Receivable}}$
Accounts Payable Turnover	$\dfrac{\text{Annual Cost of Sales}}{\text{Accounts Payable}}$
Inventory Turnover	$\dfrac{\text{Annual Cost of Sales}}{\text{Inventory}}$

Valuation Ratios

Market-to-Book Ratio	$\dfrac{\text{Market Value of Equity}}{\text{Book Value of Equity}}$
Price-Earnings Ratio	$\dfrac{\text{Share Price}}{\text{Earnings per Share}}$
Enterprise Value Ratios	$\dfrac{\text{Enterprise Value}}{\text{EBIT or EBITDA or Sales}}$

Operating Returns

Asset Turnover	$\dfrac{\text{Sales}}{\text{Total Assets}}$
Return on Equity (ROE)	$\dfrac{\text{Net Income}}{\text{Book Value of Equity}}$
Return on Assets (ROA)	$\dfrac{\text{Net Income} + \text{Interest Expense}}{\text{Book Value of Assets}}$
Return on Invested Capital (ROIC)	$\dfrac{\text{EBIT } (1 - \text{Tax Rate})}{\text{Book Value of Equity} + \text{Net Debt}}$

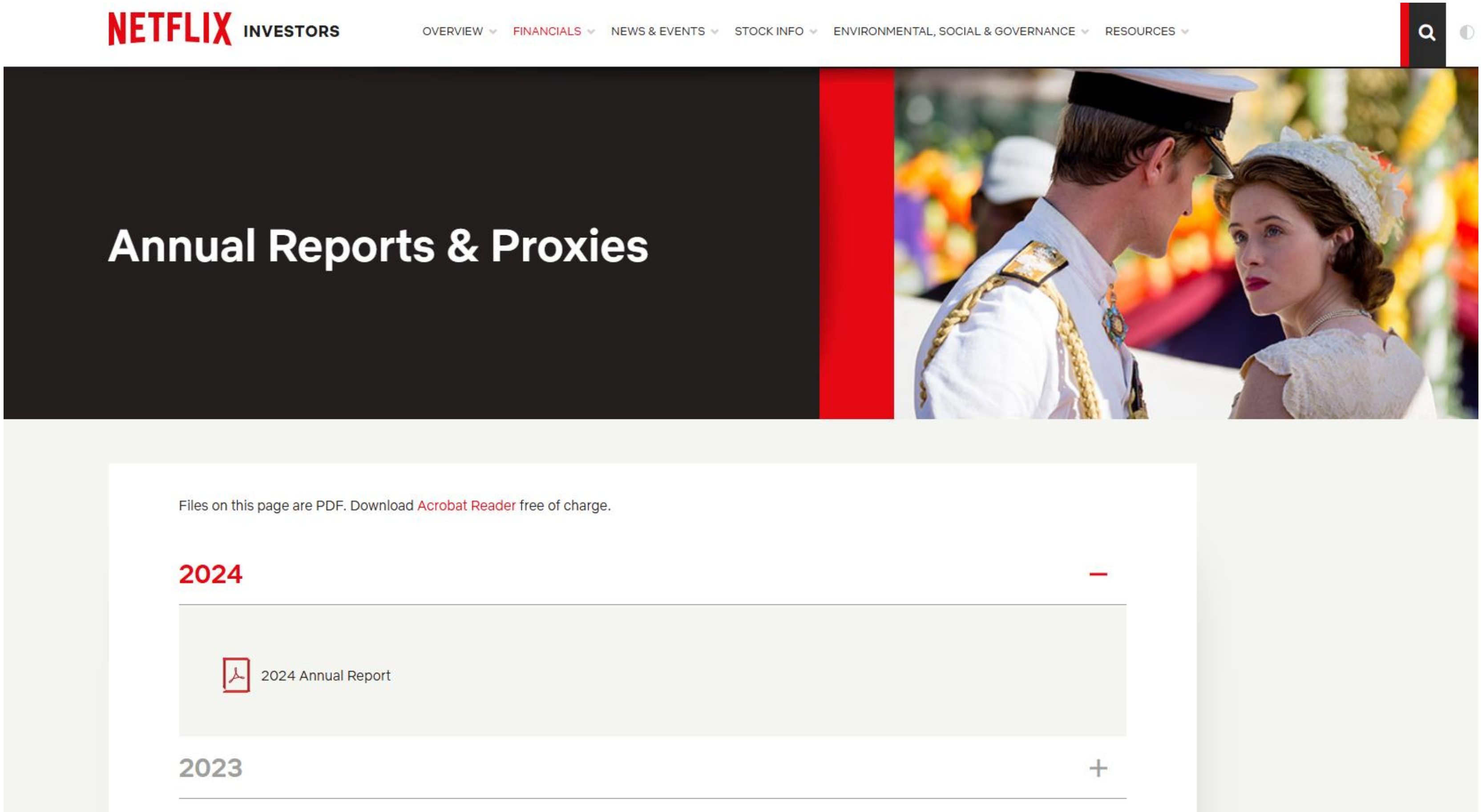
- **Chapter quiz of sessions 01 + 02**

1. The book value of a company's assets usually does not equal the market value of those assets. What are some reasons for this difference?
2. How does a firm's invested capital relate to its balance sheet volume?
3. What is a firm's enterprise value?
4. What is the ROIC? Why is it so important?
5. What is the DuPont identity?
6. What is the book-leverage equation?

When we think of Netflix…

First Release: September 17, 2021
Global Impact: Became the most-watched Netflix series within weeks of release

…and what Netflix actually is.



URL: https://ir.netflix.net/financials/annual-reports-and-proxies/default.aspx

…and what Netflix actually is.

COMPANY NEWS > EARNINGS REPORTS AND NEWS

Netflix Stock Pops On Higher Revenue Outlook, $15B Buyback Boost

By ANDREW KESSEL Updated January 21, 2025 07:16 PM EST

KEY TAKEAWAYS

- Netflix reported fourth-quarter results that surpassed analysts' expectations and lifted its 2025 revenue forecast, sending shares soaring after the bell Tuesday.
- The gains came as Netflix said it ended 2024 with 302 million memberships and achieved 19 million net new additions in the fourth quarter.
- The streamer also announced a $15 billion boost to its share repurchase program.
- Netflix said it is raising subscription prices in the U.S., Canada, Portugal, and Argentina.

Netflix (NFLX) reported fourth-quarter results that surpassed analysts' expectations and raised its 2025 revenue forecast, sending shares soaring after the bell Tuesday.

The streaming giant saw revenue grow 16% to $10.25 billion, above the analyst consensus compiled by Visible Alpha. Earnings came in at $1.87 billion, or $4.27 per share, up from $937.8 million, or $2.11 a share, a year ago and beat analysts' expectations. [1]

URL: https://www.investopedia.com/netflix-earnings-q4-fy-2024-8777613

Financial Statement Analysis: Example

Which factor contributed the <u>most</u> to Netflix's revenue growth in 2024?

1

(A) Expansion into new international markets.

(B) Increased enforcement of password-sharing rules, converting shared accounts into paid memberships.

(C) The return on equity (ROE) of Netflix in 2024 of 20.95%.

(D) Growth in its advertising-supported subscription tier.

Financial Statement Analysis: Example

Which factor contributed the most to Netflix's revenue growth in 2024?

1

Results of Operations

The following represents our consolidated performance highlights:

	As of/Year Ended December 31, 2024	2023	2022	Change 2024 vs. 2023
	(in thousands, except revenue per membership and percentages)			
Financial Results:				
Streaming revenues	$ 39,000,966	$ 33,640,458	$ 31,469,852	16 %
DVD revenues (1)	—	82,839	145,698	(100)%
Total revenues	**$ 39,000,966**	**$ 33,723,297**	**$ 31,615,550**	16 %
Operating income	$ 10,417,614	$ 6,954,003	$ 5,632,831	50 %
Operating margin	27 %	21 %	18 %	
Global Streaming Memberships:				
Paid net membership additions	41,350	29,529	8,903	40 %
Paid memberships at end of period (2)	301,626	260,276	230,747	16 %
Average paying memberships	277,730	240,889	222,924	15 %
Average monthly revenue per paying membership	$ 11.70	$ 11.64	$ 11.76	1 %
Constant currency change (3)				4 %

	Year Ended December 31, 2024	2023	2022	Change 2024 vs. 2023	
	(in thousands, except percentages)				
Streaming revenues	$ 39,000,966	$ 33,640,458	$ 31,469,852	$ 5,360,508	16 %

Streaming revenues for the year ended December 31, 2024 increased 16% as compared to the year ended December 31, 2023, primarily due to the growth in average paying memberships and price increases, partially offset by unfavorable changes in foreign exchange rates.

Netflix 10-K, p. 19/20.

Financial Statement Analysis: Example

Which factor contributed the most to Netflix's revenue growth in 2024?

1

(A) Expansion into new international markets.

(B) Increased enforcement of password-sharing rules, converting shared accounts into paid memberships.

(C) The return on equity (ROE) of Netflix in 2024 of 20.95%.

(D) Growth in its advertising-supported subscription tier.

Financial Statement Analysis: Example

Which statement describes best Netflix's liquidity position at the end of financial year 2024?

2

(A) Netflix had approximately $7.81 billion in cash and cash equivalents, providing strong liquidity.

(B) Netflix faced a severe liquidity crisis in 2024, requiring new debt financing to sustain their core operations.

(C) Netflix used most of its cash reserves to pay off debt, leaving it with less than $3 billion in cash.

(D) Netflix's cash position was lower compared with 2023 due to rising production costs.

Financial Statement Analysis: Example

Which statement describes best Netflix's liquidity position at the end of financial year 2024?

2

Cash flows from financing activities:			
Proceeds from issuance of debt	1,794,460	—	—
Repayments of debt	(400,000)	—	(700,000)
Proceeds from issuance of common stock	832,887	169,990	35,746
Repurchases of common stock	(6,263,746)	(6,045,347)	—
Taxes paid related to net share settlement of equity awards	(8,285)	—	—
Other financing activities	(29,743)	(75,446)	—
Net cash used in financing activities	(4,074,427)	(5,950,803)	(664,254)
Effect of exchange rate changes on cash, cash equivalents and restricted cash	(416,331)	82,684	(170,140)
Net increase (decrease) in cash, cash equivalents and restricted cash	688,822	1,947,933	(884,529)
Cash, cash equivalents and restricted cash, beginning of year	7,118,515	5,170,582	6,055,111
Cash, cash equivalents and restricted cash, end of year	$ 7,807,337	$ 7,118,515	$ 5,170,582
Supplemental disclosure:			
Income taxes paid	$ 1,641,530	$ 1,154,973	$ 811,720
Interest paid	674,502	684,504	701,693

See accompanying notes to consolidated financial statements.

Netflix 10-K, p. 39.

Financial Statement Analysis: Example

Which statement describes best Netflix's liquidity position at the end of financial year 2024?

2

(A) Netflix had approximately $7.81 billion in cash and cash equivalents, providing strong liquidity.

(B) Netflix faced a severe liquidity crisis in 2024, requiring new debt financing to sustain their core operations.

(C) Netflix used most of its cash reserves to pay off debt, leaving it with less than $3 billion in cash.

(D) Netflix's cash position was lower compared with 2023 due to rising production costs.

Financial Statement Analysis: Example

Netflix had $1.78 billion in short-term debt at the end of 2024.
What does this mean?

3

(A) Netflix paid off all long-term debt and only has short-term financing left.

(B) Netflix has no significant financial obligations in the near future.

(C) Netflix has upcoming debt maturities that must be repaid within the next year.

(D) All of the answers are incorrect.

Financial Statement Analysis: Example

Technische Universität München

Netflix had $1.78 billion in short-term debt at the end of 2024.
What does this mean?

3

NETFLIX, INC.

CONSOLIDATED BALANCE SHEETS
(in thousands, except share and per share data)

	As of December 31, 2024	As of December 31, 2023
Assets		
Current assets:		
Cash and cash equivalents	$ 7,804,733	$ 7,116,913
Short-term investments	1,779,006	20,973
Other current assets	3,516,640	2,780,247
Total current assets	13,100,379	9,918,133
Content assets, net	32,452,462	31,658,056
Property and equipment, net	1,593,756	1,491,444
Other non-current assets	6,483,777	5,664,359
Total assets	$ 53,630,374	$ 48,731,992
Liabilities and Stockholders' Equity		
Current liabilities:		
Current content liabilities	$ 4,393,681	$ 4,466,470
Accounts payable	899,909	747,412
Accrued expenses and other liabilities	2,156,544	1,803,960
Deferred revenue	1,520,813	1,442,969
Short-term debt	1,784,453	399,844
Total current liabilities	10,755,400	8,860,655
Non-current content liabilities	1,780,806	2,578,173
Long-term debt	13,798,351	14,143,417
Other non-current liabilities	2,552,250	2,561,434
Total liabilities	28,886,807	28,143,679
Commitments and contingencies (Note 8)		

Netflix 10-K, p. 40.

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Financial Statement Analysis: Example

Netflix repurchased $6 billion worth of shares in 2024.
What effect did this have?

4

(A) It reduced the number of outstanding shares and increased Earnings per Share.

(B) The company must be struggling financially and trying to artificially inflate its stock price.

(C) The buybacks directly increased Netflix's revenue, as the company reinvested its funds into their own company.

(D) The stock buybacks had no meaningful impact on Netflix's financial structure.

Netflix repurchased $6 billion worth of shares in 2024.
What effect did this have?

4

Stock Repurchases

In September 2023, the Board of Directors authorized the repurchase of up to $10 billion, with no expiration date, and in December 2024, the Board of Directors increased the share repurchase authorization by an additional $15 billion, also with no expiration date. Stock repurchases may be effected through open market repurchases in compliance with Rule 10b-18 under the Exchange Act, including through the use of trading plans intended to qualify under Rule 10b5-1 under the Exchange Act, privately-negotiated transactions, accelerated stock repurchase plans, block purchases, or other similar purchase techniques and in such amounts as management deems appropriate. The Company is not obligated to repurchase any specific number of shares, and the timing and actual number of shares repurchased will depend on a variety of factors, including the Company's stock price, general economic, business and market conditions, and alternative investment opportunities. The Company may discontinue any repurchases of its common stock at any time without prior notice. During the year ended December 31, 2024, the Company repurchased 9,861,935 shares for an aggregate amount of $6,211 million (excluding the 1% excise tax on stock repurchases as a result of the Inflation Reduction Act of 2022). As of December 31, 2024, $17.1 billion remains available for repurchases. Shares repurchased by the Company are accounted for when the transaction is settled. As of December 31, 2024, there were no unsettled share repurchases. Direct costs incurred to acquire the shares are included in the total cost of the shares.

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Netflix 10-K, p. 59.

Financial Statement Analysis: Example

Netflix repurchased $6 billion worth of shares in 2024.
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4

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